

JSW ENERGY LIMITED

A thermal balance sheet funding a renewable company

NSE: JSWENERGY | CMP Rs.561 | Mkt cap Rs.98,584cr | **HOLD** | **TP Rs.625** | Upside +11.4% | July 2026

Market data as of 17 July 2026 (multiple history to 23 July 2026). Consolidated basis throughout. Estimates are the attached analyst model, used exactly as given. Primary sources: FY26 Integrated Annual Report (consolidated financial statements, audited by Deloitte Haskins & Sells LLP), the Q4FY26 earnings call transcript of 11 May 2026, and the Q1FY27 results and call of 22 July 2026. Base target price = 11.9x FY28E EV/EBITDA less FY27E-end net debt, on 1,833mn post-QIP shares — the same construction the model carries.

PART A — THE BUSINESS

2. Company Overview

- JSW Energy generates and sells electricity in India. It runs 5,658MW of coal and lignite thermal at Ratnagiri, Vijayanagar, Nandyal, Barmer, Ind-Barath (Odisha) and KSK Mahanadi (Chhattisgarh); Himalayan hydro at Karcham Wangtoo, Baspa II, Kutehr and the newly acquired Tidong (150MW, from Statkraft, first 50MW commissioned 8 May 2026); and 6,165MW of solar, wind and hybrid renewables held under JSW Neo Energy. Operational capacity was 13.45GW at FY26A end and 14.6GW after Q1FY27, of which 61% is renewable. A further 14GW of generation is under construction, all tied up under long-term PPAs, and total locked-in capacity is 32.1GW against the company's 30GW-by-2030 target.
- The stock trades at 11.2x FY28E EV/EBITDA and 3.2x FY26A book. Its own 12-month forward multiple has averaged 9.0x since 2010; it sits at 13.9x today, roughly +1 standard deviation. The equity is 29% of enterprise value, so the share price is geared to the exit multiple more than to the operations.
- The company is the power arm of the Sajjan Jindal group, listed since 2010. It began as a captive supplier to JSW Steel at Vijayanagar and has grown almost entirely by acquisition and tender since: Mytrah (1,753MW, FY23), Ind-Barath (700MW, FY24–25), KSK Mahanadi (1,800MW via NCLT, FY25) and the O2 Power platform (4.7GW, Rs.12,468cr EV, FY26). There is no meaningful proprietary technology or IP — this is an assets-and-contracts business.
- FY26A was the largest step-change in the company's history: revenue rose 61% to Rs.18,901cr and EBITDA 93% to Rs.10,064cr (Rs.11,041cr on the company's definition, which includes other income), almost entirely because KSK Mahanadi and the O2 platform consolidated for the first time. Reported PAT rose only 15% to Rs.2,239cr — and, as Section 22 sets out, that figure was flattered by a Rs.777cr net tax credit that management has explained but which is not repeatable. Net debt rose Rs.25,155cr to Rs.70,081cr in the same year.
- The funding is done. Across FY26 and Q1FY27 the company raised Rs.10,150cr — a Rs.3,000cr promoter preferential issue, Rs.3,150cr from monetising part of the JSW Steel cross-holding, and a Rs.4,000cr QIP. All three are in the model. Leverage on the company's own measure improved to 4.95x after the raise, inside its 5.0–5.5x guardrail.

3. Corporate Structure — Standalone, Subsidiaries and JVs

In plain language: the listed company you buy is a minority of the business. JSW Energy Limited on a standalone basis owns three old thermal plants totalling 2,078MW and produced 18% of FY26A segment EBITDA. Everything else sits one or two levels below it. The thermal earnings are in four separate subsidiaries; the hydro is in one; and the entire renewable build — the part of the company the valuation depends on — sits inside JSW Neo Energy Limited, a wholly-owned holding company that itself holds the acquired platforms. One of the four thermal subsidiaries, KSK Mahanadi, is only 74% owned, which matters: it was the single largest EBITDA contributor in FY26A.

Exhibit 1 Corporate structure — where the assets and the earnings sit

JSW ENERGY LIMITED — listed parent (NSE: JSWENERGY)

Standalone assets: Ratnagiri 1,200MW · Vijayanagar 860MW · Nandyal 18MW = 2,078MW thermal

JSW Energy (Barmer) Ltd 1,080MW lignite, Rajasthan · RERC-regulated 15% RoE · 30-yr PPA with state discoms	100%
Barmer Lignite Mining Co Ltd 9 MTPA captive lignite mines feeding Barmer	51% JV, RSMML
Ind-Barath Energy (Utkal) Ltd 700MW coal, Odisha · no PPA — fully merchant · Shakti e-auction coal	100%
JSW Thermal Energy One Ltd (KSK Mahanadi) 1,800MW coal, Chhattisgarh · acquired via NCLT, FY25 · 95% tied to AP/TN/UP	74%
JSW Hydro Energy Ltd Karcham Wangtoo 1,091MW + Baspa II 300MW, Himachal · PPAs to 2043/2046	100%
JSW Energy (Kutehr) Ltd 240MW hydro · CoD FY26 · 35+35yr PPA with Haryana at Rs.4.45/unit	step-down
JSW Neo Energy Ltd — renewables & storage holdco Holds the entire RE build: 6,165MW operational FY26A → 18,316MW FY30E	100%
O2 Power platform 4.7GW solar/wind/hybrid/FDRE · EV Rs.12,468cr	acquired FY26
Mytrah Energy 1,753MW operating solar + wind	acquired FY23
JSW Renew Energy / Renew Two / Renewable (Vijayanagar) SECI IX, X, XII wind · captive solar for JSW Steel	100%
BESS and pumped-storage vehicles 3,000MW BESS + 3,300MW PSP under construction · SECI BESS-1 under dispute	100%
Jaigad Power Transco Ltd Two 400kV transmission lines · 14% regulated RoE	74% JV, MSETCL
JSW Power Trading Co Ltd Group merchant sales and exchange trading desk	100%
South African Coal Mining Holdings Legacy overseas coal holding — no material contribution	69%

Where the money actually is — FY26A segment EBITDA incl. other income (Rs. cr): KSK Mahanadi 3,343 · Renewables 3,994 · Standalone 1,957 · Hydro 1,077 · Barmer 668 · Ind-Barath 644 · Others -642.

The listed standalone entity produced 18% of FY26A segment EBITDA. Ownership per FY25 AR / AOC-1 and Q4FY26 filings; capacity per the analyst model.

Exhibit 1 Corporate structure. Source: FY25 annual report (AOC-1 and salient-features statement), Q4FY26 and Q1FY27 filings, analyst model.

Entity	Type	%	What sits here	Formed / acquired	FY26A revenue (Rs.cr)	FY26A EBITDA (Rs.cr)
JSW Energy Ltd	Listed parent (standalone)	—	Ratnagiri 1,200MW, Vijayanagar 860MW, Nandyal 18MW	Listed 2010	3,030	1,957
JSW Energy (Barmer) Ltd	Subsidiary	100%	1,080MW lignite, RERC-regulated 15% RoE	2009-13 (as RajWest)	2,382	668
Ind-Barath Energy (Utkal) Ltd	Subsidiary	100%	700MW coal, no PPA, fully merchant	Acquired FY24-25	1,912	644
JSW Thermal Energy One Ltd	Subsidiary	74% → 100%	KSK Mahanadi 1,800MW coal; call option served on the balance 26%	NCLT approval Feb 2025	6,071	3,343
JSW Hydro Energy Ltd	Subsidiary	100%	Karcham Wangtoo 1,091MW, Baspa II 300MW	2011 / 2006	1,112	1,077
JSW Energy (Kutehr) Ltd	Step-down (under JSW Hydro)	100%	240MW hydro, 35+35yr Haryana PPA	CoD FY26	incl. in hydro	incl.
Tidong Power Generation	Step-down	100%	150MW hydro, acquired from Statkraft	50MW CoD 8 May 2026	not yet material	—
JSW Neo Energy Ltd	Subsidiary (holdco)	100%	All solar, wind, hybrid, BESS and PSP	Formed 2020	4,701	3,994
— O2 Power platform	Step-down	100%	4.7GW RE platform, EV Rs.12,468cr	Acquired FY26	incl. above	incl.
— Mytrah Energy	Step-down	100%	1,753MW solar and wind	Acquired FY23	incl. above	incl.
Jaigad Power Transco Ltd	JV with MSETCL	74%	Two 400kV lines, 14% regulated RoE	2010	not disclosed	in Others
Barmer Lignite Mining Co	JV with RSMML	51%	9 MTPA captive lignite for Barmer	2007	not disclosed	in Others
JSW Power Trading Co Ltd	Subsidiary	100%	Merchant and exchange sales desk	2006	not disclosed	in Others
South African Coal Mining	Subsidiary	69%	Legacy overseas coal holding	Legacy	not disclosed	in Others
Others / eliminations	—	—	Holdco costs, green hydrogen, solar module project (on hold)	—	(307)	(642)

All entities are consolidated. Entity-level revenue and EBITDA are the reported segment disclosure (EBITDA including other income), which is the finest split published; entity-level PAT is not disclosed and is not in the model — that gap is unresolved here rather than estimated. Kutehr sits inside the hydro segment and the acquired platforms inside renewables.

Which entity actually earns the money? KSK Mahanadi — acquired 17 months ago, 74% owned but with a call option now served on the remaining 26% — was the largest single contributor in FY26A at Rs.3,343cr of segment EBITDA, ahead of the whole renewable portfolio at Rs.3,994cr and more than the listed standalone entity's Rs.1,957cr. Why each other entity exists: Barmer and Jaigad Transco are regulated-return vehicles built to house cost-plus assets; Ind-Barath and KSK were distressed-asset purchases bought for cash flow at a discount to replacement cost; JSW Neo exists to ring-fence renewable project debt from the thermal balance sheet and to give the group a separately financeable — and eventually separately listable — renewable platform.

Which entities absorb capital without revenue? The 'Others' segment lost Rs.642cr of EBITDA in FY26A against negative Rs.307cr of revenue. It carries holdco costs, the 3,800 tpa green hydrogen project for Tata Steel, and a 1GW

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solar PV module plant that the model's own tracker marks 'Project on Hold' after Rs.1,600cr of planned capex. The 500MW/1,000MWh SECI BESS-1 project, with a July 2022 letter of award, is marked 'Project under Dispute' and the model explicitly assumes no impairment against it. Name changes and reorganisations in the period: RajWest Power became JSW Energy (Barmer); KSK Mahanadi Power Company was acquired through insolvency and now sits under JSW Thermal Energy One Ltd.

4. Revenue & EBITDA Margin — Business Cycles

Segmenting the full listed history produces six cycles. Each is defined by what the company was building and how it was paying for it.

Cycle	Revenue (Rs.cr)	EBITDA margin	Net debt/EBITDA	ROCE	What happened
1. FY05-FY08 Captive merchant	491 → 1,574	44% → 74%	2.9x → 1.7x	7% → 29%	Vijayanagar only, merchant and captive. Peak-cycle tariffs; the best margins ever earned.
2. FY09-FY13 The first build	1,591 → 8,934	18% → 31%	20.0x → 3.6x	2% → 9%	Ratnagiri and Barmer commissioned; debt to Rs.10,377cr. Margin collapsed to 18% in FY09 on imported coal.
3. FY14-FY19 Stagnation	8,705 → 9,138	37% → 31%	2.9x → 3.6x	8% → 7%	No new capacity; merchant glut. Vijayanagar PLF 95% to 50%; EBITDA peaked in FY16 and fell for three years.
4. FY20-FY22 Deleveraging	8,273 → 8,167	36% → 44%	3.3x → 2.2x	9% → 7%	Cash harvest; net debt cut to Rs.7,758cr, the cleanest in a decade.
5. FY23-FY26A Re-levering	10,332 → 18,901	32% → 53%	6.3x → 7.0x	4% → 6%	Mytrah, Ind-Barath, KSK and O2 acquired; net debt up 3.4x. Peak leverage 8.6x in FY25A.
6. FY27E-FY30E The renewable cycle	26,535 → 39,506	49% → 60%	6.1x → 4.9x	6% → 9%	12,451MW of new capacity, 92% of the EBITDA growth from renewables. The first cycle in which ROCE is forecast to rise.

Source: analyst model, FY05-FY26A actuals and FY27E-FY30E estimates. Margins are consolidated EBITDA/revenue. FY09 net debt/EBITDA of 20.0x reflects Ratnagiri under construction with no earnings.

What the cycles teach about the current thesis: every previous JSW Energy growth cycle ended with a lower return on capital than it began with. ROCE was 29% in FY08, 9% in FY13, 7% in FY22 and 6.4% in FY26A. The FY27E-FY30E cycle is the first the model forecasts to break that pattern, and even then it reaches only 8.8% — below the 10% WACC the model's own DCF uses. The second lesson is about the balance sheet: the company was at its most valuable to shareholders in FY22, when leverage was 2.2x and it was generating free cash. It has spent the four years since converting that balance sheet capacity into capacity, and the equity market has paid for the capacity but not re-rated the returns.

Exhibit 2 Revenue and EBITDA margin, FY22A-FY30E

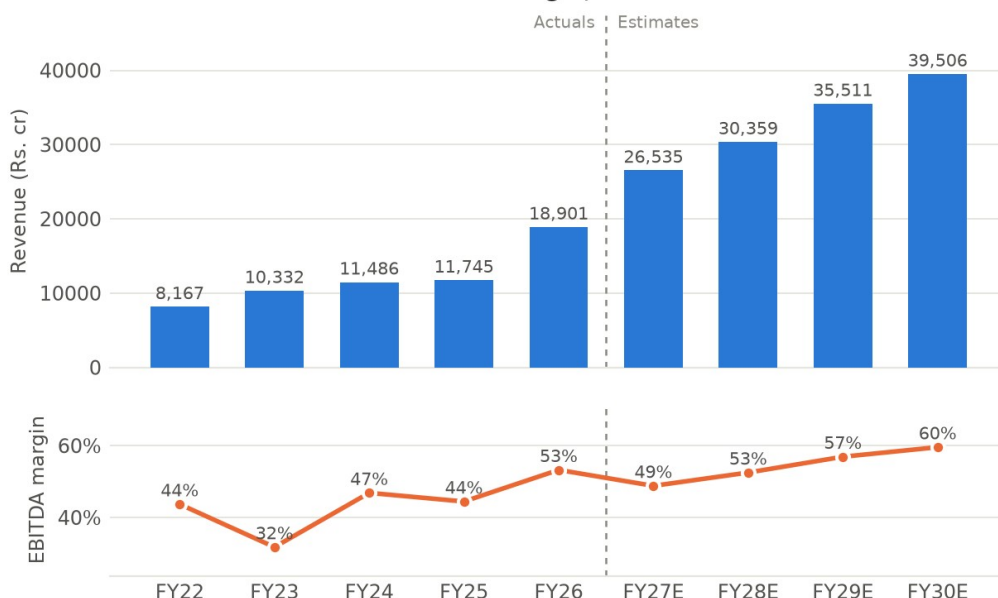


Exhibit 2 Revenue and EBITDA margin, FY22A-FY30E, Rs. crore. Two panels share the x-axis rather than a dual y-scale. Source: analyst model.

5. Business Segments

The company reports four segments under Ind AS 108 — thermal, hydro, renewables and others — and within thermal it discloses the four legal entities separately, which is unusually granular and lets each plant be mapped back to the entity in Section 3.

Revenue by segment (Rs.cr)	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Standalone (Ratnagiri, Vijayanagar, Nandyal)	5,739	5,129	3,939	3,030	6,612	6,872
JSW Energy (Barmer)	3,026	2,880	2,741	2,382	2,896	2,954

Ind-Barath (Utkal)	0	127	1,092	1,912	2,031	2,031
KSK Mahanadi (74%)	0	0	441	6,071	5,248	5,341
Total Thermal	8,765	8,136	8,214	13,395	16,788	17,199
Hydro	1,328	1,370	1,145	1,112	1,707	1,701
Renewables	152	1,906	2,434	4,701	7,133	10,281
Others / eliminations	86	73	-47	-307	907	1,178
Consolidated revenue	10,332	11,486	11,745	18,901	26,535	30,359

Source: analyst model, reported segment disclosure. The model does not carry segment revenue beyond FY28E — FY29E and FY30E segment revenue is therefore not shown rather than extrapolated. Segment EBITDA is available to FY30E and is in Exhibit 3 below.

Revenue growth, yoy	FY24A	FY25A	FY26A	FY27E	FY28E
Total Thermal	-7%	1%	63%	25%	2%
Hydro	3%	-16%	-3%	53%	-0%
Renewables	1,154%	28%	93%	52%	44%
Consolidated revenue	11%	2%	61%	40%	14%

Exhibit 3 Segment EBITDA mix — renewables become the business

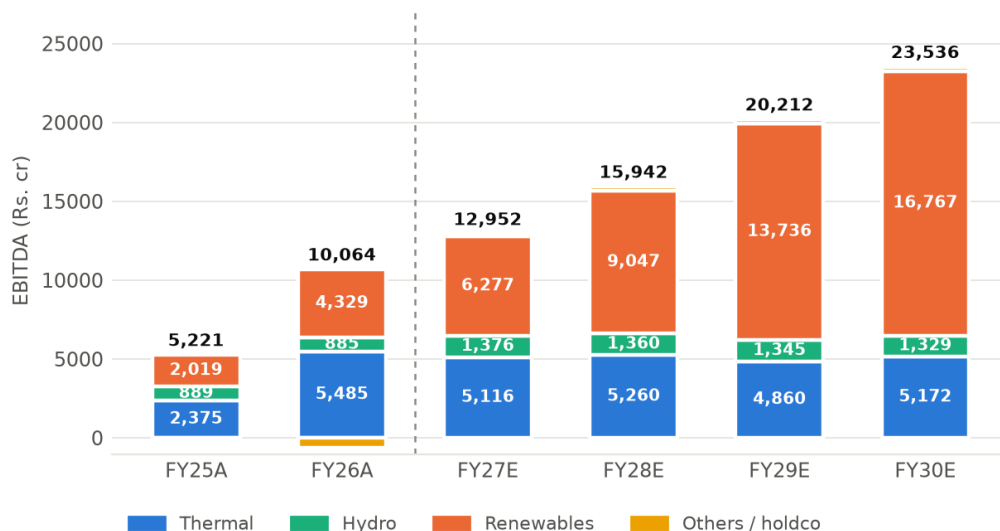


Exhibit 3 Segment EBITDA mix, FY25A-FY30E, Rs. crore. 'Others' is the balancing item between segment and consolidated EBITDA. Source: analyst model.

- **Thermal — 42% of FY26A revenue, 55% of FY26A EBITDA, but shrinking.** thermal (5,958MW from FY27E). Sells to Rajasthan discoms (Barmer, 1,080MW on a 30-year RERC-regulated PPA at 15% RoE), to Andhra Pradesh, Tamil Nadu and Uttar Pradesh (KSK, 95% tied), to MSEDCL (300MW at Ratnagiri), to the JSW group under captive arrangements (Vijayanagar 860MW, Ratnagiri ~850MW, Nandyal 18MW) and merchant. Margin behaviour under stress is well documented: FY23 thermal EBITDA fell to Rs.1,986cr as imported coal prices spiked, because only the regulated Barmer contract is a genuine fuel pass-through. Capacity is fully built; growth is realisation-led, not volume-led, and the only volume unlock is PLF at KSK and Ind-Barath.
- **Hydro — 6% of FY26A revenue, 9% of FY26A EBITDA.** hydro (1,631MW, plus Tidong 150MW acquired in FY27). Karcham Wangtoo and Baspa II sell on long-term PPAs running to 2046 and 2043. The free-power obligation to Himachal Pradesh has just worsened permanently: the Supreme Court, on 16 July 2025, set aside a favourable High Court judgment and directed JSW Hydro to supply 18% free power — not 12% — with effect from 14 September 2023. The company began supplying 18% from 19 July 2025 and, in a meeting of 12 November 2025, agreed to make good the additional 6% for the back period from future untied generation at Karcham Wangtoo. That is a permanent six-percentage-point reduction in saleable output from the company's highest-margin asset, and it is not flagged anywhere in the model. Kutehr (240MW) commissioned in FY26 on a 35+35 year Haryana PPA at Rs.4.45/unit. Hydro margins remain structurally high (97% of hydro revenue converted to EBITDA in FY26A); the swing factor is hydrology, and management argues run-of-river output is resilient to a 6-8% below-normal monsoon because snowmelt substitutes for rainfall.
- **Renewables — 25% of FY26A revenue, 40% of FY26A EBITDA, 71% by FY30E.** renewables (6,165MW at FY26A, 18,316MW by FY30E). Sells almost entirely on 25-year fixed-tariff PPAs won in SECI, NTPC, SJVN, GUVNL and state tenders, plus group captive to JSW Steel. This is the only segment with material volume growth, and its margin is the reason consolidated margin rises: renewables converted 85% of revenue to EBITDA in FY26A against 49% for thermal. Growth is constrained by land, evacuation connectivity and the pace of tender awards, not by demand.
- **Others.** holdco costs, the transmission JV, the trading desk, green hydrogen and the shelved solar module plant. It lost Rs.642cr of EBITDA in FY26A and the model assumes it turns positive from FY27E — an assumption worth Rs.816cr of the FY27E EBITDA step-up and one that is not explained in the model.

6. Business Model & Value Chain

From input to end market: for thermal, JSW Energy buys coal (imported at Ratnagiri and Vijayanagar, domestic e-auction and Shakti-linked at Ind-Barath and KSK, captive lignite at Barmer from the 51%-owned Barmer Lignite Mining JV), burns it, and sells electricity under long-term PPAs, group captive contracts or into the power exchange. For renewables and hydro there is no fuel cost at all — the plant is built once and the revenue is a fixed tariff for 25 to 40 years. Input concentration is real on the thermal side: Ratnagiri and Vijayanagar depend on imported coal and therefore carry direct rupee-dollar and seaborne-coal exposure, which is why FY23 EBITDA fell 8% in a year when revenue rose 27%.

Where the moat sits, in layers. There is no technology moat. The first layer is contractual: 25-to-40 year PPAs with sovereign-adjacent counterparties (SECI, NTPC, state discoms) that fix price and offtake, and a regulated 15% RoE at Barmer. The second is site and connectivity — grid evacuation capacity and land at scale in Rajasthan, Tamil Nadu, Karnataka and Gujarat take years to assemble and are the binding constraint on Indian renewable build today. The third is group: JSW Steel, JSW Cement and JSW Paints are captive offtakers for roughly 1,700MW, which is a genuinely sticky customer base and simultaneously a related-party concentration (Section 21). The fourth is cost of capital — in a reverse-auction market where every bidder buys the same panels and turbines, the cheapest funder wins the tender. JSW Energy's AA rating supports this; its 2.3x net-debt-to-equity works against it.

Capital intensity is the defining feature. Gross block was Rs.88,885cr at FY26A against Rs.18,901cr of revenue — a 0.25x fixed-asset turn, falling to 0.24x by FY30E as lower-turn renewable and storage assets are added. At that turn a business cannot self-fund growth; Sections 17 and 18 set out how it is financed instead.

7. Capacity, Utilisation and Capex Plan

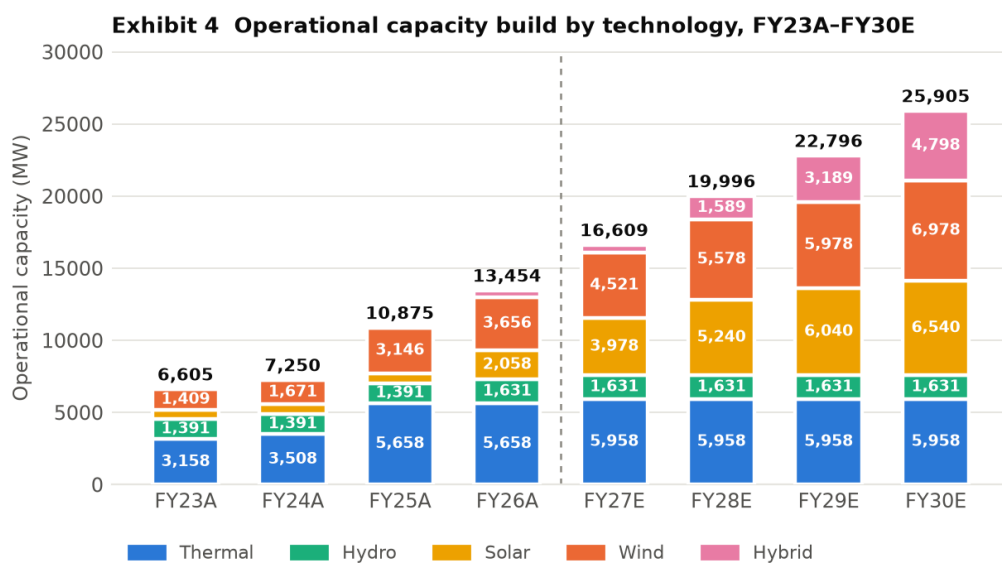


Exhibit 4 Operational capacity by technology, FY23A-FY30E, MW. Excludes storage (875MW BESS from FY28E, 2,375MW including PSP by FY30E). Source: analyst model.

Plant / block	Location	MW	PLF FY26A	PLF FY27E	Fuel / resource	Status and commissioning
Ratnagiri	Jaigad, Maharashtra	1,200	72%	74%	Imported coal + domestic e-auction	Operating since 2010-11
Vijayanagar	Karnataka	860	75%	71%	Imported coal, gas	Operating since 2000/2009
Nandyal	Andhra Pradesh	18	68%	90%	Coal	Operating since 2019, group captive
Barmer	Rajasthan	1,080	67%	70%	Captive lignite (BLMCL)	Operating since 2009-13
Ind-Barath (Utkal)	Odisha	700	67%	60%	Shakti e-auction coal	Both units operational; 400MW now on a 25-yr PPA at Rs.5.78/unit plus 115MW to Assam from 1 Apr 2026
KSK Mahanadi	Chhattisgarh	1,800	78%	75%	FSA with Coal India	Q4FY26 PLF 93%, a top-10 plant nationally. First 600MW of the expansion guided for mid-FY27; not in the model
Karcham Wangtoo	Himachal Pradesh	1,091	48%	50%	Hydro	Operating since 2011
Baspa II	Himachal Pradesh	300	48%	50%	Hydro	Operating since 2006
Kutehr	Himachal Pradesh	240	48%	50%	Hydro	CoD Q2FY26 against an original target of Sep 2024; management calls it one of the fastest builds of its scale
Tidong	Himachal Pradesh	150	—	—	Hydro	Acquired from Statkraft; 50MW commissioned 8 May 2026, balance by Jun-26. Not in the model's capacity build
Solar portfolio	Multi-state	2,058	21%	25%	Solar	3,978MW by FY27E, 6,540MW by FY30E
Wind portfolio	Multi-state	3,656	25%	25%	Wind	4,521MW by FY27E, 6,978MW by FY30E

Hybrid / FDRE	Multi-state	451	n/a	n/a	Solar+wind+storage	521MW by FY27E, 4,798MW by FY30E
BESS and PSP	Rajasthan, Maharashtra, UP	0	n/a	n/a	Storage	875MW BESS from FY28E; 1,500MW Bhavali PSP in FY30E. SECI BESS-1 (500MW, LoA Jul-2022) under dispute
Salboni, West Bengal	West Bengal	3,200	—	—	Coal	A second 1,600MW PPA was signed in FY26, making this the largest single site at 3,200MW. First 1,600MW under construction, equipment on schedule — NOT in the model's capacity or earnings; valued separately in the SOTP

Source: analyst model (Key and Assumptions sheets). PLFs are the model's assumptions. Plant-level capex and asset turns are disclosed only for the legacy thermal and hydro fleet; project-level capex for the renewable pipeline is not in the model and is therefore not shown.

Capex (Rs.cr)	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E
Cash capex	4,237	8,032	6,707	10,112	21,229	21,864	21,656	24,816
Capacity added in year (MW)	2,046	645	3,625	2,579	3,155	3,387	2,800	3,109
Implied capex per MW (Rs.cr)	2.1	12.5	1.9	3.9	6.7	6.5	7.7	8.0
Capital work-in-progress	4,788	10,285	10,281	17,464	25,603	17,667	21,503	16,286
CWIP as % of gross block	15%	27%	16%	20%	25%	13%	14%	9%

Implied capex per MW is capex in the year divided by capacity commissioned in the year and is therefore distorted by construction lead times — FY24A's Rs.12.5cr/MW reflects spend on capacity that commissioned in FY25A. Maintenance capex is not separately disclosed in the model; on a Rs.88,885cr gross block, a conventional 1.5% maintenance charge would be roughly Rs.1,300cr a year, meaning approximately 94% of FY27E capex is growth capex. That split is an inference, not a disclosure.

Where expansion has slipped, and why. Three cases are dated in the model's own project tracker. Kutehr carried an original CoD of 1 September 2024 and commissioned in Q2FY26. The 125MW Hetero wind acquisition carries a CoD of 31 March 2023 and is still under construction. SECI BESS-1 (500MW / 1,000MWh) has a letter of award dated 15 July 2022, is marked under dispute, and the model assumes no impairment against it. Management's stated cause for renewable slippage is grid evacuation, and it is corroborated: against a government plan of 15,000 circuit-km of transmission last year, only 9,500 circuit-km were built, and management says the constraint eases only around 2029. Its response is to deliberately defer investment until connectivity is available — on the call it said it starts work only when land and connectivity are 100% secured, which avoids stranded capital and penalties but does push commissioning right. Curtailment is the visible cost: about 160 million units were curtailed in Q4FY26, most under permanent grid access where the tariff is still received, leaving a revenue loss of roughly Rs.15cr in the quarter and Rs.50cr for FY26A, concentrated in two Rajasthan assets. Management expects this to end with a new evacuation line around July 2026.

The scale of the commitment is now in the audited accounts. Capital contracts remaining to be executed stood at Rs.24,184cr at 31 March 2026, against Rs.8,796cr a year earlier — a 2.7x increase that independently corroborates the model's Rs.21,229cr FY27E capex line and management's own guidance of about Rs.20,000cr for FY27, of which Rs.4,000-5,000cr is earmarked for the thermal and pumped-storage projects and the balance for wind, solar and batteries.

8. Customers, Contracts and Revenue Visibility

Offtaker	Capacity tied (MW)	Contract type	Tenure	Who bears fuel cost
Rajasthan state discoms (Barmer)	1,080	Regulated cost-plus PPA	30 years	Customer — full pass-through at 15% RoE
Andhra Pradesh, Tamil Nadu, Uttar Pradesh (KSK)	~1,710 (95% of 1,800)	Competitively-bid PPA	Long-term	Largely JSW — bid tariff
JSW group captive (Steel, Cement, Paints, Severfield, Epsilon)	~1,730	Group captive PPA	Rolling	Passed through at Vijayanagar; related party
Haryana, UP, Punjab, Rajasthan via PTC (hydro)	880	Long-term hydro PPA	To 2043 / 2046	No fuel cost
Haryana (Kutehr)	240	Fixed-tariff PPA at Rs.4.45/unit	35 + 35 years	No fuel cost
MSEDCL (Ratnagiri)	300	PPA on escalable-cost basis	25 years	Partly JSW — tariff is not firm for the full term
SECI, NTPC, SJVN, GUVNL and state RE tenders	growing to ~18,300 by FY30E	25-year fixed-tariff PPA	25 years	No fuel cost
Merchant / power exchange	~13% of 1QFY27 sales	Spot	None	JSW — full price and volume risk
Ind-Barath (Utkal)	400 + 115	25-yr PPA at Rs.5.78/unit; 2-yr Assam PPA	25 years / 2 years	Largely JSW — bid tariff

Source: analyst model (Key sheet), FY26 annual report, Q4FY26 and Q1FY27 calls. The company does not publish a top-5 or top-10 split, but note 46 of the FY26 consolidated accounts discloses that one customer accounted for Rs.1,956.70cr of revenue — 10.4% of the total (FY25A: one customer, Rs.1,238.79cr, 10.5%) — and names JSW Steel and state distribution companies as the major customers.

Revenue visibility improved materially during FY26 and this is the single most under-appreciated fact in the story. Ind-Barath, which we would previously have described as an uncontracted merchant plant, signed a 25-year PPA for 400MW at Rs.5.78/unit and a two-year 115MW arrangement with the Assam discom effective 1 April 2026. Management now puts open, untied capacity at about 5% of the installed base, and states there is no open capacity at all in the solar portfolio. The 14GW under construction is fully tied under long-term PPAs. What remains merchant is predominantly domestic-coal thermal sited close to mines, which keeps the merchant breakeven low: FY26A merchant

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realisations ran at a 20%-plus premium to the exchange average of Rs.3.86/unit, achieved through bilateral back-to-back short-term contracts rather than spot selling.

Two qualifications remain. Concentration is real and now quantified: one customer took Rs.1,956.70cr of FY26A revenue, 10.4% of the total. And related-party sales are structural — power sold to JSW Steel (Rs.743.90cr), JSW Cement (Rs.30.85cr), JSW Paints, Severfield, Epsilon Carbon, Jindal Saw and JSW Jaigarh Port totalled roughly Rs.804cr, about 4.3% of revenue. That is smaller than the ~1,730MW of group captive capacity would suggest, because much of the captive arrangement is billed as job-work generation (Rs.1,214.85cr in FY26A) rather than as a power sale.

One disclosure conflict is worth naming and is now resolved. The Q1FY27 commentary in the model records receivable days of 'zero versus 58 days year-on-year', which is a data error. Management's own figure is total receivables of Rs.3,240cr at 31 March 2026, or 62 debtor days, improved from 76 days a year earlier. The model's balance sheet carries a narrower Rs.2,973cr of trade receivables (57 days). We use the company's 62 days as the reported measure and the model's balance for the ratio tables in Section 17, and flag the Rs.267cr difference as definitional.

PART B — THE MARKET

9. Industry Overview and Industry Growth Drivers

The market JSW Energy actually sells into is Indian utility-scale electricity generation. India's installed generating capacity reached about 533GW at 31 March 2026, of which 283.5GW — 53% — is non-fossil, including 274.7GW of renewables and 8.8GW of nuclear. JSW Energy's 14,535MW at June 2026 is roughly 2.7% of national capacity.

The structural growth drivers, separated into those already visible in reported numbers and those still prospective:

- **Visible now — renewable share gain.** India added 64.9GW of capacity in FY26, of which renewables were 50.9GW — 78% of all additions — and non-fossil crossed 50% of installed capacity for the first time. Renewables are taking share, not riding demand.
- **Visible now — the policy mandate.** India's stated target is 500GW of non-fossil capacity by 2030, requiring roughly 54GW of additions a year from a 283.5GW base. The tender pipeline from SECI, NTPC, SJVN and the state utilities is the mechanism, and JSW Energy's forward capacity is won through it.
- **Prospective — the storage premium.** Firm and dispatchable renewable tenders (FDRE, hybrid, RTC) and standalone storage now carry materially better tariffs than plain solar, because the grid needs shaped power. JSW's shift into hybrid (451MW at FY26A to 4,798MW by FY30E) and 3,000MW of BESS plus 3,300MW of pumped storage is a direct response.
- **Prospective — thermal utilisation recovery.** Thermal PLFs across the fleet sit at 67–78%. There is headroom, but utilisation depends on discom offtake discipline and on merchant prices, both of which are cyclical and currently soft.

Where we sit in the cycle, and the tension in the story. National power demand grew just 0.9% in FY26 — the weakest in five years, on an extended monsoon — against 50.9GW of renewable capacity added in the same year. That combination is the classic setup for curtailment and merchant tariff compression, and it showed up in a soft FY26 exchange average of Rs.3.86/unit. Demand has since recovered: Q4FY26 grew 2.2% and FY27 year-to-date is running at 4.6%, with peak demand of 256GW already reached on 25 April 2026 against a system positioned for roughly 270GW this summer. Management and the CEA both point to a 5–6% medium-term demand CAGR. The binding constraint is not demand but evacuation: against a plan of 15,000 circuit-km of transmission last year, only 9,500 circuit-km were delivered, and management expects the bottleneck to persist until about 2029. For a company whose entire forecast growth is renewable capacity, that is the single most important sector fact in this note.

One regulatory change is worth pricing in. The CERC's revised Deviation Settlement Mechanism, if implemented as drafted, would cost JSW roughly 1.5–2% of renewable revenue on management's own worst-case estimate — that is an increase from a non-zero base, not a new charge, and it would be reduced if the industry secures substation-level grouping of settlement rather than plant-level. About 1GW of operational group-captive capacity is off-grid and insulated from it entirely.

The demand-side counterparty is dominated by state distribution companies and central intermediaries (SECI, NTPC, SJVN). Their financial health determines payment cycles and their tender calendar determines the growth rate. This is a sovereign-adjacent, policy-driven revenue base — low credit risk in practice, but with tariff-setting power concentrated in a handful of buyers.

10. Competitive Landscape and Market Position

JSW Energy competes in two distinct markets. In thermal it competes with NTPC, Adani Power, Tata Power and the state generators for PPAs and for distressed assets; the basis of competition is tariff and balance sheet, and JSW has recently competed mainly as a buyer of stressed capacity rather than a greenfield builder. In renewables it competes in reverse auctions against Adani Green, NTPC Green, Tata Power Renewables, ReNew, Greenko, Sembcorp and a long tail of financial-sponsor platforms. In a reverse auction where everyone buys the same modules and turbines from the same suppliers, the winner is whoever has the cheapest capital and the best-secured land and evacuation. That is a real but shallow moat, and it erodes if the balance sheet tightens.

Peer	EV/EBITDA	P/E	Comment
JSW Energy	11.2x FY28E / 13.9x 12m fwd	44.0x FY26A	13.5GW; 2.3x net debt/equity; ROCE 6.4% FY26A
NTPC	~11.0x	~12.8x	~80GW+, sovereign-owned, regulated RoE base — the sector's valuation floor
Tata Power	~13.8x	~33.4x	Integrated: generation, distribution, module manufacturing
Adani Power	~24.4x	n/a	Largest listed private thermal by market cap in 2026
Adani Green	>17x	>50x	Pure-play renewable; the multiple JSW's renewable arm is implicitly benchmarked against in the SOTP

Peer multiples are trailing figures collected from secondary market-data providers in July 2026 and have NOT been reconciled to audited accounts or to a common estimate basis. Treat them as indicative of relative position only. Peer revenue growth, EBITDA margin, ROCE and market capitalisation on a like-for-like basis were not obtainable and are deliberately left out rather than estimated. This is a gap in the note.

Operating benchmarking is where the company looks weakest. JSW Energy's ROCE was 6.4% in FY26A and averaged 5.4% over FY23A–FY26A. NTPC, on a regulated return base, and Tata Power, on an integrated model, both run materially higher. JSW's EBITDA margin of 53.2% is high, but margin is the wrong comparison in a capital-intensive utility — a 60% margin on a 0.24x asset turn produces a 14% pre-tax return on gross assets before any leverage or depreciation, which is how a business can look highly profitable on the income statement and mediocre on capital. Market share is not the operative metric here: at 2.7% of national capacity, JSW is a price-taker in every market it sells into except the regulated Barmer contract and the group captive book.

11. Business Growth Drivers — Company-Specific

Exhibit 5 EBITDA growth bridge FY26A → FY30E — 92% is renewables

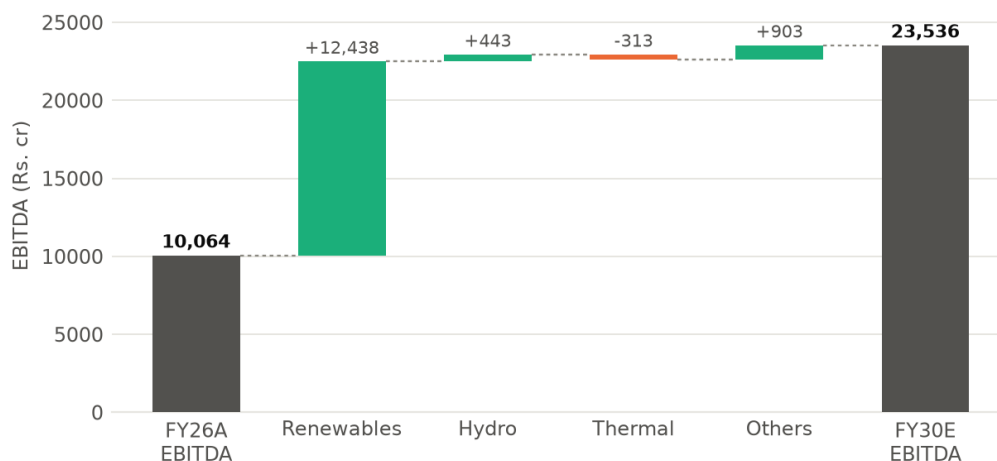


Exhibit 5 EBITDA growth bridge, FY26A to FY30E, Rs. crore. Source: analyst model, segment EBITDA.

Driver	FY26A → FY30E EBITDA (Rs.cr)	Contribution	Status
Renewables: 6,165MW → 18,316MW of solar, wind and hybrid	4,329 → 16,767 (+12,438)	92% of the bridge	Committed for ~6,700MW under construction; probable for the tendered pipeline; the FY29E-FY30E additions are optional
Hydro: Kutehr full-year effect	885 → 1,329 (+443)	3%	Committed — plant commissioned FY26
Thermal: PLF and realisation, no new capacity	5,485 → 5,172 (-313)	-2%	Committed capacity, but the model forecasts thermal EBITDA to fall
Others: holdco, transmission, trading turning positive	-635 → 269 (+903)	7%	Unexplained in the model — treat as optional
Total	10,064 → 23,536 (+13,472)	100%	
Not in the model at all	—	—	Salboni 1,600MW thermal (under construction, PPA signed); KSK units 3-6 (1,600-1,800MW option); PSP beyond 1,500MW; any further acquisition

Source: analyst model. Status labels (committed / probable / optional) are our assessment against the model's commissioning schedule, not a company disclosure.

The single number that matters in this bridge: the model implies incremental renewable capacity earns about Rs.1.02cr of EBITDA per MW (Rs.12,438cr of additional EBITDA on 12,151MW of additional capacity), against Rs.0.70cr/MW for the FY26A renewable fleet as it stands. Management gave the benchmark explicitly on the Q4FY26 call: assume steady-state EBITDA of about Rs.75 lakh per MW — Rs.0.75cr/MW — for a fully available wind and solar portfolio. The model is therefore running incremental economics roughly 36% above the company's own stated steady-state figure for wind and solar. Part of that gap is defensible, because the incremental mix is richer than the existing one: hybrid capacity goes from 451MW to 4,798MW, FDRE and round-the-clock tenders price above plain solar, and 875MW of BESS plus 1,500MW of pumped storage carry different economics again. But applying management's Rs.0.75cr/MW to the 12,151MW of incremental capacity would produce roughly Rs.9,113cr of additional EBITDA rather than Rs.12,438cr — a Rs.3,325cr shortfall against FY30E, about 14% of forecast group EBITDA. This is the most consequential assumption in the model and the one to track quarter by quarter.

PART C — THE NUMBERS

12. Investment Thesis

The variant perception. The market is treating JSW Energy as a renewable compounder whose EBITDA more than doubles by FY30E and which therefore deserves a growth multiple — and it is right about the EBITDA. Where we differ is on who owns it: 92% of that growth is renewable capacity funded with debt, net debt reaches Rs.75,038cr by FY27E-end against Rs.15,942cr of FY28E EBITDA, and the equity is only 29% of enterprise value. The share price is therefore a geared bet on the exit multiple, not on the operations — and the multiple is already at +1 standard deviation of its own 16-year history.

- The build is real, contracted and now funded.** Capacity goes from 13,454MW at FY26A to 25,905MW by FY30E and EBITDA from Rs.10,064cr to Rs.23,536cr, a 24% CAGR. Three independent facts now support it rather than one: 14GW is under construction with every megawatt tied under a long-term PPA; capital commitments contracted and not provided for stood at Rs.24,184cr in the audited FY26 accounts, up 2.7x; and 1,081MW has already commissioned since April 2026 against a 3,155MW FY27E requirement. The Rs.10,150cr of funding is raised. This is a construction schedule with dates, not a narrative.
- The margin expansion is mechanical, not heroic.** Renewables converted 85% of revenue to EBITDA in FY26A against 49% for thermal, so consolidated margin rises from 53.2% to 59.6% by FY30E purely on mix. Section 16

shows the mechanism in the cost lines: fuel falls from 29.5% of revenue to 25.5% while nothing else moves much. This is arithmetic, not operating improvement.

3. **But the equity is a thin, geared claim on that EBITDA.** At FY27E-end the model carries Rs.75,038cr of net debt, equal to 4.7x FY28E EBITDA. Every 1.0x of EV/EBITDA is worth Rs.87 per share, or 15.5% of the current price. At the 16-year mean multiple of 9.0x the stock is worth Rs.373; at the model's 11.9x it is worth Rs.625. Nothing about the operations changes between those two numbers.
4. **And the returns still do not clear the cost of capital.** ROCE was 6.4% in FY26A and the model has it reaching 8.8% in FY30E. The same model discounts cash flows at a 10% WACC. Nine years of growth capex and the terminal return on capital is still below the cost of capital the analyst has assigned to it. That is not a reason to be short a well-contracted asset base, but it is a decisive reason not to pay a growth multiple for it.

13. Key Model Assumptions

Assumption	FY26A	FY27E	FY28E	FY29E	FY30E
Total operational capacity (MW)	13,454	16,609	19,996	22,796	25,905
— of which renewables (MW)	6,165	9,020	12,407	15,207	18,316
Capacity added in year (MW)	2,579	3,155	3,387	2,800	3,109
Storage (MW)	0	0	875	875	2,375
Thermal PLF (KSK / Barmer / Ratnagiri)	78 / 67 / 72%	75 / 70 / 74%	75 / 70 / 73%	75 / 70 / 73%	75 / 70 / 73%
Solar / wind PLF	21 / 25%	25 / 25%	25 / 25%	25 / 25%	25 / 25%
Revenue growth — thermal	63%	25%	2%	n/d	n/d
Revenue growth — renewables	93%	52%	44%	n/d	n/d
Revenue growth — consolidated	61%	40%	14%	17%	11%
EBITDA margin	53.2%	48.8%	52.5%	56.9%	59.6%
Fuel cost as % of revenue	29.5%	32.3%	30.0%	27.2%	25.5%
Staff + other cost growth	63%	48%	3%	6%	4%
Effective tax rate (model)	(39.3%)	25.0%	25.0%	25.0%	25.0%
— management guidance	—	23-24%	23-24%	23-24%	23-24%
Capex (Rs.cr)	10,112	21,229	21,864	21,656	24,816
Working capital days	44.6	38.0	38.0	38.0	38.0
Diluted shares (mn)	1,757	1,833	1,881	1,881	1,881

Source: analyst model, used as given. 'n/d' — the model does not carry segment revenue beyond FY28E. Working capital days are held flat at 38.0 from FY27E, a modelling convention rather than a forecast.

What the forecast does not assume. No Salboni (1,600MW thermal, under construction with a signed West Bengal PPA). No exercise of the KSK Mahanadi units 3-6 option (1,600-1,800MW). No pumped storage beyond the 1,500MW Bhavali project in FY30E, against a company target of 40GWh of storage by 2030. No further acquisitions. No equity beyond the Rs.4,000cr QIP at Rs.525 and the Rs.1,875cr balance on the promoter warrants at Rs.525 that are already in the share count. Two of the model's inputs are worth flagging as choices rather than forecasts: working capital days pinned at 38.0 from FY27E, and minority interest falling from Rs.523cr in FY26A to Rs.24cr in FY28E despite 26% of KSK Mahanadi being owned by someone else (see Section 22).

Reconciling the model to the company's own guidance, now that the FY26 results and both calls are available. The model is conservative against management on four counts and aggressive on one. Conservative: it reaches 25,905MW of generation plus 2,375MW of storage — about 28.3GW against a 30GW target, and against 32.1GW of already locked-in capacity and 29.6GWh of locked-in storage; it carries FY27E capex of Rs.21,229cr against guidance of about Rs.20,000cr and audited capital commitments of Rs.24,184cr; it applies a 25% tax rate against management guidance of 23-24%; and it puts KSK Mahanadi EBITDA at Rs.2,464cr in FY27E and Rs.2,543cr in FY28E, below the Rs.2,700cr steady state the investor-relations team asked analysts to use. Aggressive: the Rs.1.02cr/MW of incremental renewable EBITDA discussed in Section 11 sits 36% above management's own Rs.0.75cr/MW steady-state benchmark for wind and solar. On balance the model is defensible, but the growth is concentrated in the one line where it is most optimistic.

14. Quarterly Trend

Rs. cr	2QFY25	3QFY25	4QFY25	1QFY26	2QFY26	3QFY26	4QFY26	1QFY27
Revenue	3,238	2,439	3,189	5,143	5,177	4,082	4,499	5,207
Revenue growth, yoy	-1%	-4%	16%	79%	60%	67%	41%	1%
EBITDA	1,685	914	1,204	2,789	2,996	2,030	2,250	2,873
EBITDA margin	52.0%	37.5%	37.8%	54.2%	57.9%	49.7%	50.0%	55.2%
PAT after minority	853	168	408	743	705	420	372	471

Source: analyst model, consolidated reported quarterlies. 3QFY26 PAT includes a Rs.751cr deferred-tax credit and a Rs.65cr exceptional item.

What the cadence shows. Three things. First, the year-on-year revenue growth of 60-79% through FY26 was consolidation of KSK and O2, and it has now annualised out — 1QFY27 revenue grew 1.2%. From here, growth has to come from commissioning, not from acquisition accounting. Second, the margin is genuinely improving on mix: 1QFY27 EBITDA margin of 55.2% against 54.2% a year earlier, on flat revenue, is the renewable share doing its work — EBITDA rose 3% while PAT fell 37%, the entire gap being higher interest (Rs.1,519cr against Rs.1,306cr) and depreciation on newly commissioned assets. Third, and most important for anyone underwriting FY27E: the run-rate does not yet get there. 1QFY27 EBITDA of Rs.2,873cr annualises to Rs.11,493cr against a FY27E estimate of

Rs.12,952cr, so the remaining nine months need Rs.3,360cr a quarter, 17% above the June quarter. On PAT the gap is wider: Rs.471cr in 1QFY27 against a FY27E estimate of Rs.2,823cr requires Rs.784cr a quarter for the rest of the year. The estimate is heavily back-ended on capacity that has not yet commissioned. That is not implausible — 3,155MW is scheduled — but it is the single most fragile part of the forecast.

15. Financial Performance

Rs. cr	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E
Revenue	8,167	10,332	11,486	11,745	18,901	26,535	30,359	35,511	39,506
growth, yoy	n/a	27%	11%	2%	61%	40%	14%	17%	11%
EBITDA	3,569	3,282	5,382	5,221	10,064	12,952	15,942	20,212	23,536
EBITDA margin	43.7%	31.8%	46.9%	44.4%	53.2%	48.8%	52.5%	56.9%	59.6%
Depreciation	1,131	1,169	1,633	1,655	3,185	3,722	4,558	5,487	6,420
Other income	569	535	455	894	977	1,039	992	887	720
Interest expense	777	844	2,053	2,269	5,816	6,196	7,510	9,309	10,084
PBT (reported)	2,230	1,924	2,150	2,191	1,974	4,074	4,866	6,304	7,751
Tax	495	463	442	231	-777	1,018	1,217	1,576	1,938
effective tax rate	22.2%	24.1%	20.6%	10.5%	-39.3%	25.0%	25.0%	25.0%	25.0%
Minority interest	15	2	2	32	523	232	24	23	23
PAT after minority	1,729	1,478	1,723	1,951	2,239	2,823	3,626	4,704	5,791
PAT margin	21.2%	14.3%	15.0%	16.6%	11.8%	10.6%	11.9%	13.2%	14.7%
Adjusted PAT	1,729	1,358	1,723	1,951	2,304	2,823	3,626	4,704	5,791
EPS (Rs.)	10.51	8.99	10.47	11.16	12.74	15.40	19.28	25.01	30.78
DPS (Rs.)	2.0	2.0	2.0	2.0	2.0	2.2	2.4	2.4	2.4

Source: JSW Energy reported consolidated accounts for FY22A-FY26A; FY27E-FY30E are the attached analyst model's estimates, used exactly as given. EPS is on reported PAT after minority; adjusted EPS was Rs.8.26 in FY23A (Rs.120cr exceptional gain) and Rs.13.11 in FY26A (Rs.65cr exceptional loss). FY26A's effective tax rate is negative — see Section 22.

16. Cost Structure and Unit Economics

As % of revenue	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E
Fuel cost	42.8%	53.9%	39.9%	37.9%	29.5%	32.3%	30.0%	27.2%	25.5%
Electricity purchased	1.0%	3.6%	1.1%	1.2%	0.5%	0.5%	0.5%	0.4%	0.4%
Employee cost	3.2%	3.0%	3.2%	4.0%	3.9%	4.2%	3.9%	3.5%	3.3%
Other expenses	9.3%	7.8%	9.0%	12.5%	12.9%	14.1%	13.1%	11.9%	11.2%
Total operating cost	56.3%	68.2%	53.1%	55.6%	46.8%	51.2%	47.5%	43.1%	40.4%
EBITDA margin	43.7%	31.8%	46.9%	44.4%	53.2%	48.8%	52.5%	56.9%	59.6%
Memo: fuel cost (Rs.cr)	3,494	5,570	4,582	4,456	5,581	8,579	9,106	9,663	10,087

Source: analyst model. There is no raw-material line — fuel is the equivalent. Power and fuel are reported together in the accounts.

Fixed versus variable, and the operating leverage that follows. Fuel is the only genuinely variable cost, and it is variable only with thermal volume: renewables and hydro have no fuel cost at all. Employee cost and other expenses — 3.9% and 12.9% of FY26A revenue — are substantially fixed per MW of installed capacity. That gives a cost structure that is roughly 63% fixed at the FY26A mix and heading to 75% fixed by FY30E as renewables take share. The practical consequence: a 10% shortfall in renewable generation flows through to EBITDA almost one-for-one, because there is no fuel cost to save; a 10% shortfall in thermal generation costs roughly half as much, because fuel falls with it. Operating leverage is asymmetric across the portfolio and it is getting more so.

This section is what supports the margin claim made in Section 12 and in the thesis. Consolidated EBITDA margin rises from 53.2% in FY26A to 59.6% in FY30E, and the cost lines show why: fuel falls from 29.5% of revenue to 25.5% while employee cost and other expenses are broadly flat as a share. The margin expansion is a mix effect, not a cost-reduction programme, and it therefore requires no execution beyond commissioning the plants. Equally, it cannot be accelerated: there is no cost lever here.

17. Return Ratios, Working Capital and Cash Flow

Rs. cr / ratio	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E
ROE	10.8%	7.5%	8.7%	8.1%	7.9%	8.3%	9.1%	10.6%	11.8%
ROCE (post-tax)	7.1%	4.3%	6.2%	4.2%	6.4%	6.3%	7.3%	8.3%	8.8%
ROCE (pre-tax)	11.1%	6.0%	7.9%	5.6%	7.2%	8.2%	8.8%	9.9%	10.4%
Operating cash flow (post-tax)	2,952	2,084	6,234	3,838	9,898	12,720	16,319	19,486	21,902
Capex	-2,294	-4,237	-8,032	-6,707	-10,112	-21,229	-21,864	-21,656	-24,816
Free cash flow	659	-2,152	-1,798	-2,868	-213	-8,509	-5,545	-2,170	-2,915
FCF after interest	-99	-3,228	-4,107	-5,589	-6,169	-14,705	-13,055	-11,478	-12,999
Pre-tax OCF / EBITDA	95%	74%	123%	80%	101%	106%	110%	104%	101%
Debtor days	54	82	54	81	57	50	50	50	50

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Inventory days	40	35	26	28	19	18	18	18	18
Net working capital days	32	54	51	51	45	38	38	38	38

Source: analyst model. Debtor and inventory days are computed on year-end balances over that year's revenue.

Is reported profit converting into cash? At the EBITDA line, yes — pre-tax operating cash flow has run at 74% to 123% of EBITDA and the model assumes 101-110% through the forecast, which is normal for a utility with contracted receivables. Debtor days improved from 81 in FY25A to 57 in FY26A. At the equity line, no, and not by a small margin. Free cash flow after interest has been negative in every year since FY22A and the model forecasts a cumulative Rs.53,993cr of negative post-interest free cash flow over FY27E-FY30E. This is not a working capital problem or an earnings-quality problem; it is what a Rs.89,565cr four-year capex programme looks like on a Rs.10,064cr EBITDA base. The company is a net consumer of capital throughout the forecast and there is no year in the model in which it becomes self-funding.

Are returns improving or being diluted? Both, at different points. ROCE fell from 7.1% in FY22A to 4.2% in FY25A as acquisitions landed on the balance sheet before their earnings did, then recovered to 6.4% in FY26A as KSK consolidated for a full year. The model then has it grinding up to 8.8% by FY30E. ROE tells a flatter story — 8.1% in FY25A, 7.9% in FY26A, 11.8% in FY30E — and the Du Pont decomposition explains why the improvement is thin: asset turnover barely moves (0.16x to 0.22x), PAT margin does not recover to its FY25A level until FY30E, and the ROE improvement comes substantially from leverage rising from 2.85x to 3.45x average assets over average net worth. An ROE improvement driven by gearing is not the same thing as a better business.

18. Treasury, Balance Sheet and Capital Allocation

JSW Energy is leveraged, not cash-rich, so the debt profile is the relevant disclosure.

Rs. cr	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E
Gross debt	8,892	24,817	31,327	49,621	75,846	85,681	94,358	107,669	116,378
Cash and liquid investments	2,526	5,085	5,296	6,797	9,030	10,643	7,689	9,070	4,328
Net debt	7,758	20,803	27,120	44,926	70,081	78,303	89,934	101,864	115,314
Net debt / EBITDA	2.17x	6.34x	5.04x	8.61x	6.96x	6.05x	5.64x	5.04x	4.90x
Net debt / equity	0.45x	1.12x	1.30x	1.64x	2.28x	2.11x	2.13x	2.19x	2.23x
Interest cover (EBITDA/interest)	3.80x	2.47x	3.04x	1.69x	1.70x	2.05x	2.17x	2.09x	2.17x
Implied cost of debt	n/a	5.0%	7.3%	5.6%	9.3%	7.7%	8.3%	9.2%	9.0%
Reported weighted avg cost of debt					8.36%				
Net worth	17,415	18,629	20,832	27,361	30,752	37,171	42,221	46,474	51,813
Book value per share (Rs.)	106	113	127	157	175	203	224	247	275

Source: analyst model; reported cost of debt from the Q4FY26 call. The implied rate is interest expense over average gross debt and overstates the marginal rate where construction-period interest is capitalised — management's reported weighted average cost of debt was 8.36% at March 2026, down 67bp year-on-year, with holdco borrowing at about 8.2%. Of roughly Rs.15,000cr of debt at the standalone/holdco level, about Rs.4,500cr is short-term and the balance runs beyond three years; the short-term portion is acquisition bridge finance for the KSK rail and water SPVs, to be refinanced at asset level. Covenant terms are still not disclosed. Credit ratings are AA (stable) from ICRA and India Ratings.

Exhibit 6 Net debt and leverage, FY22A-FY30E

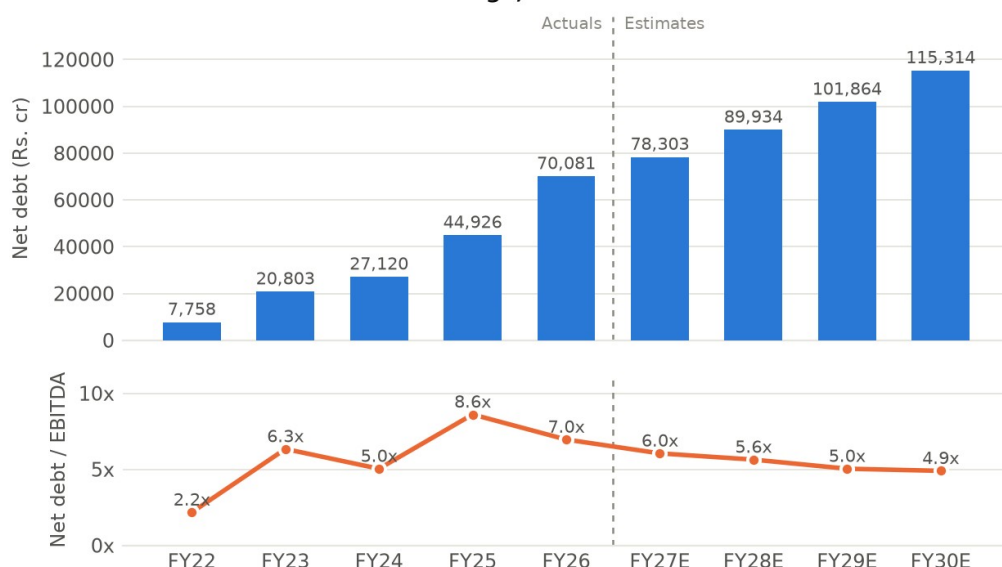


Exhibit 6 Net debt and leverage, FY22A-FY30E. Source: analyst model.

The deleveraging path is real but slow and entirely growth-dependent, and the two available measures of it differ enough to matter. On the model's basis — total net debt over total EBITDA — leverage falls from 7.0x in FY26A to 4.9x in FY30E, and net debt still rises in absolute terms every single year, from Rs.70,081cr to Rs.115,314cr. On the

company's basis, which excludes debt funding capital work-in-progress that is not yet earning, leverage was about 5.2x at FY26A and improved to 4.95x after the Q1FY27 capital raise. Management's 2030 target is approximately 5.0–5.5x on its own measure, not 'below 5.0x' — a distinction worth holding, because it means the company is already inside its guardrail while the model shows it outside one for another three years. Interest cover of 1.70x in FY26A is the number a credit analyst looks at first, and the model has it at 2.05x–2.17x through the forecast — adequate but not comfortable for an AA credit.

The capital allocation record, FY22A–FY26A. Over five years the company generated about Rs.25,007cr of post-tax operating cash flow. It spent Rs.31,382cr on capex and a further Rs.26,537cr on acquiring equity in subsidiaries (principally KSK Mahanadi and O2 Power), paid roughly Rs.11,760cr of interest and about Rs.1,700cr of dividends. The gap was funded with Rs.66,953cr of new debt and Rs.6,069cr of new equity (the FY25 QIP of Rs.4,944cr and Rs.1,125cr in FY26). The result of deploying roughly Rs.73,000cr of new capital: ROCE moved from 7.1% to 6.4%. That is the honest scorecard, and it is the strongest single argument against paying a growth multiple today.

The funding plan is no longer an assumption — it has been executed. Across FY26 and Q1FY27 the company raised Rs.10,150cr in what it describes as the largest growth capital raise in the Indian power sector: a Rs.3,000cr preferential issue to the promoter vehicle JTPM Metal Traders (Rs.500cr of equity at Rs.525 plus Rs.2,500cr of warrants, of which Rs.1,125cr had been received by Q4FY26 and roughly Rs.1,800cr remains callable at the company's option), Rs.3,150cr from monetising part of the JSW Steel cross-holding, and a Rs.4,000cr QIP anchored by institutional investors. All three appear in the model, and cash and equivalents stood at Rs.12,881cr after the raise. This materially de-risks the FY27E plan and removes what we would otherwise have flagged as the largest single execution risk in the note. On the Q4FY26 call the CFO went further, saying the Rs.20,000cr FY27 capex is manageable from operating cash flow, the preferential proceeds and the warrants within existing leverage ratios — implying no further equity is needed for the current plan, though the board has enabling approval for up to Rs.10,000cr more.

Two capital-allocation observations remain. First, the company pays a dividend (Rs.352cr in FY26A, rising to Rs.451cr by FY28E in the model) while running roughly Rs.13,000cr a year of negative post-interest free cash flow — Rs.1,758cr over FY27E–FY30E funded, at the margin, with debt. Second, the residual JSW Steel holding is still large: 7.00cr shares carried at a fair value of Rs.7,861.80cr at 31 March 2026, up from Rs.7,446.48cr, an idle cross-holding while the group borrows at 8.36%. The relationship runs both ways — JSW Steel itself holds 4.86% of JSW Energy. Management defends the position by quoting cash returns on net worth of about 18% adjusted for it, which is a fair way of saying the operating business earns well once the non-earning asset is stripped out; it is not a reason to keep holding it.

19. Stock Price History — Price and Business Story

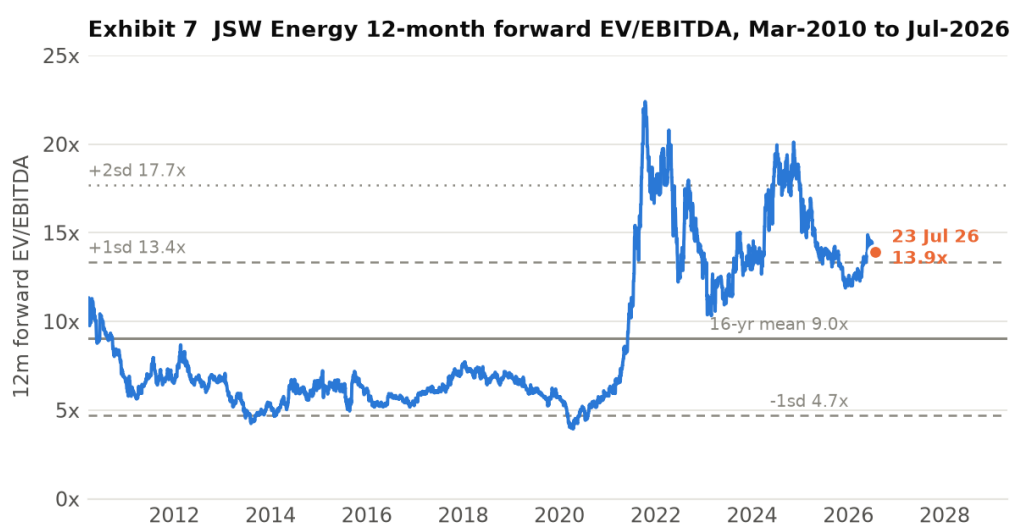


Exhibit 7 JSW Energy 12-month forward EV/EBITDA, March 2010 to 23 July 2026, with the 16-year mean and standard deviation bands. Source: analyst model (daily series).

A monthly closing-price series is not in the model, so the price narrative below is told through the 12-month forward EV/EBITDA multiple, which is in the model as a daily series to 23 July 2026, together with the 52-week range of Rs.427.75 to Rs.617.35. Where a phase description refers to the share price rather than the multiple it should be read as directional, not precise. That is a gap in this section.

- **FY11–FY20, the lost decade.** The multiple derated from 9–11x to 5–6x and troughed at 3.9x in March 2020 — correctly pricing a shrinking thermal utility with no new capacity, Vijayanagar PLF falling from 95% to 50%, and EBITDA down three years running.
- **FY21–FY22, the renewable re-rating.** From 5.8x to 22.4x in eighteen months. JSW Neo was formed, the 20GW target announced, and leverage was 2.2x with positive free cash flow. The market paid for an option on the transition before any of it was built.
- **FY23–FY25, the reality check and the acquisition re-rating.** Down to 10.3x as FY23 EBITDA fell 8% on imported coal and leverage jumped to 6.3x on Mytrah; then back to a 20.1x peak in 2024 on the Ind-Barath and KSK acquisitions and a Rs.4,944cr QIP. The market learned what the transition would cost, then decided cheap distressed thermal was accretive anyway.
- **FY26A to date, consolidation.** The multiple has traded between 12.0x and 14.9x and sits at 13.9x. The revealing fact is what happened underneath it: consolidated EBITDA nearly doubled in FY26A while the multiple compressed from a 16.9x average in 2024 to 13.2x in 2026. The market has taken delivery of the EBITDA and

refused to keep paying the same multiple for it, which is a rational response to net debt rising by Rs.25,155cr in the same year.

Current price against business reality: at Rs.561 the stock sits 9% below its 52-week high and 31% above its low, on a multiple 0.55 standard deviations above a 16-year mean that includes a decade in which this was a much lower-quality company. The business is better contracted than at any point in that history and three times as leveraged as in FY22. A multiple between the mean and +1sd is, on that reading, close to fair.

20. Valuation

We value JSW Energy on EV/EBITDA. The reasons are specific rather than conventional. P/E is unusable for FY26A because the effective tax rate was negative 39% — the reported Rs.12.74 of EPS is not a repeatable number. P/BV is distorted by three acquisitions in four years and by Rs.659cr of goodwill. A DCF is unusable here for a structural reason set out below. EV/EBITDA is the right lens for a leveraged, capital-intensive, long-contract asset base — it values the assets and then makes the reader confront the debt explicitly, which in this case is the whole point.

Comparables. Adani Green (>17x) is the anchor the market implicitly applies to the renewable arm and is not a fair one for the consolidated company, which carries a thermal fleet and merchant exposure. NTPC (~11.0x) is the fair floor, and it is a genuine question why a 2.3x-gearred private generator earning 6.4% ROCE should trade above a regulated-return generator with a far stronger balance sheet. Tata Power (~13.8x) is the closest structural comparable and JSW trades roughly in line with it. The model's sum-of-the-parts applies 10x to thermal and hydro and 12x to renewables — the origin of the 11.9x blended base multiple.

Scenario	Multiple	Applied to	EBITDA (Rs.cr)	Enterprise value	Less net debt	Equity value	Target price	vs CMP
Bear	8.0x	FY28E	15,942	127,535	(75,038)	52,497	Rs.286	(49%)
Downside case	10.2x	FY28E	15,942	162,607	(75,038)	87,569	Rs.478	(15%)
Base	11.9x	FY28E	15,942	189,709	(75,038)	114,671	Rs.625	+11%
Bull	11.9x	FY29E	20,212	240,519	(86,670)	153,849	Rs.839	+50%
Reversion to 16-yr mean	9.0x	FY28E	15,942	143,477	(75,038)	68,439	Rs.373	(33%)

Net debt deducted is gross debt less cash and current investments at the end of the prior financial year — Rs.75,038cr at FY27E-end for the FY28E cases, Rs.86,670cr at FY28E-end for the FY29E case. Shares: 1,833.5mn post-QIP, as the model uses. Multiples are the exact values in the model's valuation matrix; the row labels in that sheet read 9x/10x/12x but the cells contain 8.0x, 10.2x and 11.9x, and we have used the cells. Implied EV/EBITDA at the current price is 11.16x FY28E.

Treasury and the parts the base target does not credit. The base target deducts cash and current investments but does not add back the non-current residual holding in JSW Steel — 7.00cr shares carried at Rs.7,861.80cr in the audited FY26 accounts, or about Rs.34 per share after a 20% holding-company discount. Nor does it value Salboni (3,200MW, first 1,600MW under construction) or the KSK units 3–6 option. The model's separate sum-of-the-parts, which does credit all of these and values the operational portfolio asset by asset — thermal and hydro at 1.5x price-to-book, renewables at 12x EV/EBITDA on FY28 capacity — arrives at Rs.510 per share, below the current price. The two methods bracket the market: an asset-value approach says the stock is 9% expensive, a forward-multiple approach says it is 11% cheap. That spread is the honest answer, and it is why this is a hold.

Why the DCF is not used. The model's discounted cash flow produces a negative equity value of Rs.376 per share. This is not a bearish signal; it is an artefact. Free cash flow to equity is negative in four of the seven forecast years because capex runs ahead of operating cash flow throughout, and with a terminal growth rate of 5% against a 10% WACC applied to a negative terminal cash flow, the terminal value is itself negative. A DCF cannot value a company whose entire value is in assets commissioning after the forecast window. We report the output for completeness and place no weight on it.

Sensitivity — what the base target becomes one notch below assumption:

- **FY28E EBITDA 10% below forecast (Rs.14,348cr):** target falls to Rs.522, or 7% below the current price. An 11% upside becomes a 7% downside on a 10% earnings miss.
- **FY28E EBITDA margin of 50.0% instead of 52.5%:** EBITDA of Rs.15,180cr and a target of Rs.576, or +3%.
- **Multiple reverting to the 16-year mean of 9.0x:** target of Rs.373, or 33% below the current price.
- **Adjusting for the 26% minority in KSK Mahanadi:** EV/EBITDA values 100% of KSK Mahanadi's EBITDA but the parent owns 74% today. The company has served notice to buy the balance 26%, so the full-consolidation treatment will be correct — but the purchase price, of the order of Rs.1,170cr on the SOTP's own 1.5x book, is not in the model's FY27E net debt of Rs.78,303cr. Adding it reduces the base target by about Rs.6 per share to roughly Rs.619. This replaces the Rs.43 haircut we would have applied had the buyout not been under way, and is the single largest favourable revision in this note.

Rating and target. HOLD, base target price Rs.625, +11.4% against a CMP of Rs.561, derived as 11.9x FY28E EV/EBITDA less FY27E-end net debt on 1,833mn shares. The rating falls out of the scenario table rather than the narrative: the base case offers 11% over roughly two years, the downside to a mean-reversion of the multiple is 33%, and a 10% EBITDA miss alone flips the upside negative. That is not the risk-reward of a buy.

PART D — THE JUDGEMENT

21. Corporate Governance Checks

Parameter	Status	Comment
Promoter holding	66.53% (Jun-26), from 69.32% (Sep-24)	The decline is dilution from the FY25 QIP and the FY27 raise, not promoter selling. Promoters have subscribed Rs.625cr of warrants at Rs.525 with Rs.1,875cr still to pay — money going in, not out.
Promoter pledge	Not disclosed in the annual report	The FY26 accounts disclose no pledge of JSW Energy shares by promoters. They do disclose extensive lender security at subsidiary level — a first-ranking pari passu pledge over 51% of JSW Hydro's equity with a negative pledge over the remaining 49%, a 30% share pledge plus a 21% non-disposal undertaking at another borrowing entity, and a 100% share pledge under an ECB. That is normal project finance, not distress. Promoter-level pledge must still be checked in the quarterly shareholding filing.
Institutional holding trend	FII 14.92% → 11.41%; DII 9.78% → 16.16% over 8 quarters	The direction is the signal: foreign investors have been steady sellers for two years while domestic institutions have absorbed the stock and the QIP. Combined institutional holding rose from 24.7% to 27.6%.
Free float and liquidity	33.5% free float; Rs.98,584cr market cap	Large-cap, index-weight, liquid. Daily traded value not verified.
Promoter structure	66.53% across 12+ entities	Largest holders: an entity at 17.73%, Indusglobe Multiventures 14.57%, Siddeshwari Tradex 13.14%, JSL Ltd 8.27%, Virtuous Tradecorp 4.87% and JSW Steel Ltd 4.86% — a reciprocal cross-holding, since JSW Energy also owns Rs.7,862cr of JSW Steel. Family holdings (Tarini Jindal Handa, Tanvi Shete, Parth Jindal) are ~1.4% each.
Investor concalls	Held quarterly	The company holds quarterly earnings calls with detailed segment and commissioning disclosure — better than sector norm and reflected in the granularity of Section 5.
Related party transactions	Quantified: ~Rs.804cr of power sales, 4.3% of revenue	JSW Steel Rs.743.90cr, JSW Cement Rs.30.85cr, JSW Jaigarh Port Rs.10.48cr, Epsilon Rs.6.57cr, Severfield Rs.5.23cr, Jindal Saw Rs.3.90cr, JSW Paints Rs.3.41cr. Smaller than the ~1,730MW of captive capacity implies, because much is billed as job-work generation. The group has also guaranteed Rs.599.80cr of a related party's borrowings (FY25: Rs.711.89cr).
Auditor	Deloitte Haskins & Sells LLP — unmodified opinion	Clean opinion on the FY26 standalone and consolidated accounts. No emphasis-of-matter paragraph. One key audit matter: tariff-related disputes with customers, flagged for the judgement involved and the magnitude of potential exposure. No auditor change in the period.
SEBI / exchange penalties	None disclosed	No penalty or regulatory action is disclosed in the FY26 accounts and none is recorded in the model.
Dividend track record	Rs.2.00/share paid in each of FY22A-FY26A	Unbroken but static, and a 0.36% yield. Payout has fallen from 22% to 16% as earnings grew. The model raises DPS to Rs.2.40 by FY28E.
Treasury deployment	Rs.7,862cr of JSW Steel shares still held	Rs.3,150cr was monetised in the FY27 capital raise. The residual 7.00cr shares are carried at fair value through OCI. Still an idle cross-holding financed at the margin by 8.36% debt.
Credit rating	AA (stable), ICRA and India Ratings	Reaffirmed. Weighted average cost of debt fell 67bp to 8.36% in FY26, which is the market's verdict on the credit. Interest cover of 1.70x in FY26A remains thin for the category.
Capital commitments	Rs.24,184cr contracted at 31 Mar 2026	Up 2.7x from Rs.8,796cr. Contractually committed, so the capex programme is not discretionary from here.

Separating red flags from structural quirks. Having now read the audited FY26 accounts, this section reads better than we expected. The auditor's opinion is unmodified with no emphasis of matter, the single key audit matter is a tariff dispute rather than an accounting judgement about revenue or asset values, no regulatory penalty is disclosed, and related-party power sales are 4.3% of revenue rather than the far larger number the captive capacity implies. The structural quirks — a 74% stake in the best asset (now being bought in), a holdco layer for renewables, project-level share pledges to lenders, a fuel JV with a Rajasthan state entity — are how Indian power assets are financed and contracted. What we would still flag: the reciprocal cross-holding with JSW Steel in both directions; a dividend maintained through four years of large negative free cash flow; and the Rs.599.80cr guarantee of a related party's borrowings. The one item that remains genuinely unverified is promoter-level pledge, which is disclosed in the quarterly shareholding filing rather than in the annual report and should be checked before acting.

22. Contingent Liabilities, Litigation and Accounting Quality

None of this is in the financial model, so it is taken from note 33 of the FY26 consolidated accounts. Claims against the group not acknowledged as debt totalled Rs.2,519.61cr at 31 March 2026, marginally lower than Rs.2,646.67cr a year earlier. Adding tariff disputes with customers of Rs.340.23cr, financial guarantees of Rs.604.80cr (Rs.599.80cr of it for a related party) and the group's Rs.1,041.13cr share of Barmer Lignite Mining's claims gives roughly Rs.4,506cr of aggregate contingent exposure, about 15% of the Rs.30,752cr net worth. That is a manageable number for a company of this size and, importantly, it is not growing.

- A negative tax rate carried FY26A earnings — now explained.** The consolidated tax charge in FY26A was negative Rs.777cr on a positive PBT of Rs.1,974cr — an effective rate of minus 39%, driven by a Rs.946cr deferred-tax credit in 3QFY26 and a further Rs.371cr in 4QFY26. The CFO explained it on the Q4FY26 call: deferred tax assets were recognised at Utkal, where unabsorbed depreciation and business losses became recoverable once the PPAs were signed, and at KSK. It is therefore a legitimate, explained, one-off recognition rather than an accounting concern — but it is not repeatable, and management guided the effective rate to 23–24% from here. Normalising FY26A to 25% puts PAT after minority at roughly Rs.969cr against the reported Rs.2,239cr: reported earnings

growth of +15% becomes about -50%. Anyone anchoring on FY26A EPS of Rs.12.74 is anchoring on a tax-assisted number.

- **The minority-interest assumption — resolved, but only half of it.** Minority interest was Rs.523cr in FY26A — 19% of pre-minority PAT, consistent with 26% of KSK Mahanadi sitting outside the group. The model forecasts it collapsing to Rs.232cr in FY27E and Rs.24cr in FY28E. We had flagged this as unexplained; it is not. Management confirmed on the Q4FY26 call that it has already served notice to exercise its call option over the balance 26% of KSK Mahanadi, and that the minority outflow will fall materialise once the purchase completes. The assumption is therefore directionally right. What is missing is the other side of it: the consideration is not yet crystallised — the CFO expected a number by the end of Q2FY27 — and no cash outflow for it appears anywhere in the model's investing line. On the SOTP's own 1.5x price-to-book for KSK, 26% would be roughly Rs.1,170cr of cash, which is not in the Rs.78,303cr FY27E net debt. The earnings are in the forecast; the cost of buying them is not.
- **Capitalisation and impairment risk.** Capital work-in-progress stood at Rs.17,465cr at FY26A, 20% of gross block, and the model has it peaking at Rs.25,603cr in FY27E. That is normal for a company mid-build, but it is also the account where cost overruns and impairment can sit unrecognised. The 500MW SECI BESS-1 project — letter of award July 2022, marked 'Project under Dispute' — carries an explicit no-impairment assumption in the model against Rs.2,800cr of planned project cost. The 1GW solar module plant is marked 'Project on Hold' against Rs.1,600cr of planned capex.
- **A balance-sheet line worth reading.** Other current liabilities rose from Rs.2,244cr in FY24A to Rs.5,439cr in FY25A and Rs.7,654cr in FY26A, and the model then holds the line flat through FY30E. A Rs.5,400cr increase in two years is large enough to warrant reading the note; holding it flat for four years while the balance sheet grows 50% is a modelling convention, not a forecast.
- **Receivable and inventory ageing.** Receivables at 62 days on the company's measure against 76 a year earlier, and inventory at 19 days against 28 — both improving, both consistent with a shift towards contracted renewable revenue and a better counterparty mix. Nothing here looks inconsistent with reported growth.
- **What is actually in the Rs.2,520cr.** The largest single items are water cess of Rs.645.47cr (up from Rs.406.93cr, and recoverable from customers under the agreements if it goes against the company), a Rs.468.10cr penalty from the Water Resources Department on raw water charges, Rs.422.53cr of interest on a generation tax demand, Rs.243.99cr of customs duty, and Rs.139.83cr on survey and investigation work. Two items disappeared in FY26 — Rs.285.45cr of rail charges and Rs.381.58cr of water transport charges — because the group bought the counterparties (the KSK rail and water SPVs) and both cases are being withdrawn. New this year: Rs.98cr of contract-employee provident fund dues predating the KSK insolvency acquisition, Rs.58.36cr of Telangana deviation settlement charges and Rs.48.72cr disputed with HPPTCL on transmission. The 51%-owned Barmer Lignite JV carries a further Rs.789.52cr service tax claim within its Rs.1,041.13cr total.
- **The Himachal free-power ruling.** This is the one item in the accounts that permanently reduces earnings and is nowhere in the model. JSW Hydro was obliged to supply 12% free power to Himachal Pradesh for the first twelve years and 18% thereafter; a CERC order of March 2022 capped it at 12%, the Himachal High Court agreed in May 2024, and the Supreme Court then set that aside on 16 July 2025 and directed 18% free power from 14 September 2023. The company began supplying 18% on 19 July 2025 and agreed on 12 November 2025 to make good the arrears of 6% for the intervening 22 months out of future untied generation at Karcham Wangtoo. Karcham Wangtoo generates roughly 4,780 million units a year, so six percentage points is of the order of 287 million units annually, permanently, from the company's highest-margin asset — plus a back-period catch-up. The model's hydro EBITDA of Rs.1,376cr in FY27E does not visibly reflect it.

23. Management Team and Guidance vs Delivery

Name / role	Background	Our assessment
Sajjan Jindal — Chairman & Managing Director	Promoter; chairman of the JSW group across steel, cement, energy, infrastructure and paints	The central key-man risk and the central capital-allocation authority. Group-level capital allocation determines whether JSW Energy funds its own build or competes for group capital. Positive: the promoter is putting Rs.2,500cr into warrants at Rs.525, below the market price.
Sharad Mahendra — Joint MD & CEO (since Feb 2024)	Long-serving JSW Energy executive	Two years into the role and running the largest build in the company's history. Operating disclosure has improved on his watch — quarterly segment and commissioning detail is above sector norm. Unproven on a downcycle.
Chandrasekaran Prabhakaran — CFO since 1 January 2026	Appointed by the board on 12 December 2025 on the retirement of the previous Director (Finance), Pritesh Vinay, who stepped down from the board on 31 December 2025	A CFO change six months before the largest capital raise in the sector's history is a genuine risk item, and it appears to have been managed: the Rs.10,150cr programme was completed on his watch and the weighted average cost of debt fell 67bp in the same year. His disclosure on the calls — CWIP split, holdco maturity profile, the deferred-tax explanation — is specific and unprompted, which is a good sign.
Bikash Chowdhury — Head, Investor Relations and ERM	Fronts the quarterly calls alongside the CEO and CFO	Notably, IR explicitly asked analysts on the Q4FY26 call to model KSK Mahanadi at Rs.2,700cr of steady-state EBITDA rather than the Rs.3,300cr+ actually delivered in FY26. Guiding analysts down from a good year is unusual and is a mark in favour of this management's candour.

Guidance versus delivery. With both FY26 calls and the FY26 annual report in hand this is now testable against what management actually said, and the record is better than the project tracker alone suggests.

What was promised	When and where	What was delivered
20GW of generation capacity by 2030	announced c.2021	Raised to 30GW plus 40GWh of storage under 'Strategy 3.0'. Locked-in capacity is already 32.1GW and locked-in storage 29.6GWh, with 14GW under construction fully tied under PPAs. Raised and, on the company's

		own pipeline, over-covered — though the analyst model reaches only 28.3GW.
Kutehr hydro 240MW, CoD September 2024	project tracker in the model	Commissioned in FY26 — approximately 18 months late.
Hetero wind 125MW, CoD 31 March 2023	project tracker in the model	Still listed as under construction in July 2026 — over three years late.
SECI BESS-1, 500MW / 1,000MWh, LoA 15 July 2022	project tracker in the model	Not commissioned; marked under dispute. No impairment taken.
1GW solar PV module manufacturing	announced, capex Rs.1,600cr	Marked 'Project on Hold' in the model's tracker. Vertical integration has instead gone into a 5GWh battery assembly plant at Pune (commissioned Q4FY26, commercial sales started) and a wind blade plant at Halol (due H1FY27) — a redirection rather than a straight miss.
Net debt/EBITDA of approximately 5.0-5.5x by 2030	Q4FY26 call, 11 May 2026	On the company's measure (excluding CWIP debt) 5.2x at FY26A, improving to 4.95x after the Q1FY27 raise — already inside the guardrail. On the model's all-in measure, 6.96x at FY26A reaching 4.90x only in FY30E.
Rs.20,000cr of FY27 capex and about 3GW of additions	Q4FY26 call, 11 May 2026	Corroborated by Rs.24,184cr of contracted capital commitments in the audited accounts. 873MW added in Q1FY27, 1,081MW since April — roughly 36% of the annual target in the first quarter.
KSK Mahanadi steady-state EBITDA of Rs.2,700cr	Q4FY26 call, investor relations	FY26A delivered over Rs.3,300cr against Rs.2,650cr in the year before acquisition. Management guided analysts down, citing a UPPCL tariff step-down, partly offset by fuel logistics savings after buying the KSK rail and water SPVs.
Mid-teen return thresholds on every investment	Q4FY26 call, 11 May 2026	Not yet visible at group level: consolidated ROCE was 6.4% in FY26A and the model reaches 8.8% by FY30E. Either project returns are materially above group returns because of the drag from CWIP and acquired thermal, or the threshold is aspirational. This is the single most useful thing to test as the build matures.
FY26 capacity addition	quarterly disclosure	2,579MW added in FY26A against 3,585MW in FY25A; 1,081MW added since April 2026 including 873MW in 1QFY27. Delivery on the aggregate build has been real, even where individual projects have slipped.

Source: the analyst model's own project tracker (Key sheet), company quarterly disclosure and press statements. Where a promise was made on an earnings call we have not been able to cite the specific call.

Verdict on the promoter structure and who it suits. This is a promoter-controlled, group-embedded utility executing the largest capital programme in its history with a balance sheet that has tripled its debt in four years. The promoter is aligned in the way that matters most — subscribing Rs.3,000cr of equity and warrants at Rs.525 and Rs.515 rather than selling — and disclosure quality is genuinely good: the calls give CWIP splits, holdco maturity profiles, per-MW EBITDA benchmarks and a candid deferred-tax explanation, and investor relations guided analysts down on KSK rather than up. The aggregate delivery record is 'on plan in total, late on individual projects, and honest about why' — the evacuation constraint is real and externally verifiable. That is a better profile than we credited before reading the transcripts. It still suits investors with a three-to-five year horizon underwriting an asset base rather than an earnings trajectory, and who can tolerate a 30%-plus drawdown if the multiple mean-reverts. It does not suit anyone underwriting FY27E EPS.

24. Triggers to Watch

- Q2FY27 results, around October 2026 — the run-rate test.** consolidated EBITDA must run at Rs.3,360cr a quarter for the remaining nine months of FY27 to reach the Rs.12,952cr estimate, against Rs.2,873cr in 1QFY27. Two consecutive quarters below Rs.3,100cr confirms the FY27E estimate is 8-10% too high.
- Standalone segment revenue through FY27.** the model assumes Rs.6,612cr in FY27E against Rs.3,030cr in FY26A and Rs.1,101cr delivered in 1QFY27. If nine-month standalone revenue is below Rs.4,000cr, roughly Rs.1,500cr of FY27E revenue does not exist. This is the least-explained line in the model.
- KSK Mahanadi minority buyout price, by end-Q2FY27.** the consideration for the balance 26% of KSK Mahanadi is not yet crystallised; the CFO expected a number by the end of Q2FY27. On the SOTP's 1.5x book it is of the order of Rs.1,170cr, and it is not in the model's cash flow. A materially larger number raises FY27E net debt and cuts the target; completion also validates the collapse in minority interest that carries 18% of FY28E EPS.
- First 600MW of KSK Mahanadi units 3-6, mid-FY27.** management guided the first 600MW of the KSK expansion for mid-FY27. It is not in the model's capacity or earnings at all, so it is pure upside to FY28E — roughly Rs.500-600cr of annualised EBITDA on the plant's current unit economics, or about Rs.35 per share at 11.9x.
- Quarterly MW commissioned.** 3,155MW is scheduled for FY27E and 873MW came in 1QFY27. A quarterly commissioning run-rate below roughly 750MW confirms slippage in the driver that is 92% of the growth story.
- Commissioning of the new evacuation line, July 2026.** management expects the Rajasthan evacuation line around July 2026, which should end the curtailment that cost Rs.50cr of revenue in FY26A. If it slips, curtailment persists into a year in which 3GW is being added, and the Rs.0.75cr/MW steady-state benchmark becomes the ceiling rather than the base.
- Final DSM regulations.** the CERC's revised Deviation Settlement Mechanism would cost 1.5-2% of renewable revenue on management's worst case. Watch whether the industry secures substation-level grouping, which materially reduces it.

25. Key Risks

- Multiple compression — the dominant risk.** The equity is 29% of enterprise value, so each 1.0x of EV/EBITDA is Rs.87 per share — 15.5% of the price. Reversion to the 16-year mean of 9.0x takes the stock to Rs.373, a 33% loss, with no change whatsoever in the operations. What would confirm it: the forward multiple breaking below 12x while net debt keeps rising. This is the largest single risk in the name and it is a valuation risk, not a business risk.
- Renewable execution slippage.** 12,151MW of renewables must be built in four years to deliver 92% of the EBITDA growth. The company's own tracker shows Kutehr 18 months late, Hetero wind three years late and SECI

BESS-1 stalled in dispute. A one-year slip across the FY28-FY30 build removes roughly Rs.3,000-4,000cr of FY30E EBITDA, which at 11.9x is over Rs.200 per share of target. What would confirm it: quarterly commissioning below 750MW.

14. **Funding — de-risked for FY27, unresolved for FY29-30.** Cumulative free cash flow after interest is negative Rs.53,993cr over FY27E-FY30E and the business does not self-fund in any forecast year. The near-term risk has, however, largely been retired: the Rs.10,150cr raise is complete, cash stands at Rs.12,881cr, Rs.24,184cr of capex is contractually committed and the CFO states the FY27 programme needs no further equity. The residual risk is FY29-FY30, where roughly Rs.46,000cr of further capex must be financed on 2.1x interest cover. What would confirm it: a negative rating action, interest cover below 1.7x, or a second QIP under the Rs.10,000cr enabling approval.
15. **Evacuation and curtailment, not merchant price, is the real sector risk.** National demand grew 0.9% in FY26 while 50.9GW of renewables was added, and only 9,500 of a planned 15,000 circuit-km of transmission was built. Curtailment cost Rs.50cr of revenue in FY26A and management says the constraint eases only around 2029. The merchant exposure itself is smaller than we first assessed — open capacity is about 5% of the base and Ind-Barath is now largely contracted — but the sector-level evacuation shortfall directly gates the commissioning schedule that is 92% of the growth. What would confirm it: quarterly curtailment above Rs.25cr, or slippage in the July 2026 Rajasthan line.
16. **Earnings quality — three items the model does not carry.** FY26A reported PAT of Rs.2,239cr becomes roughly Rs.969cr at a normal tax rate — the deferred-tax recognition at Utkal and KSK is explained and legitimate but not repeatable, and management guides 23-24% from here. The minority-interest collapse is now corroborated by the KSK call option, but its cost is absent from the model. And the Supreme Court's 18% Himachal free-power ruling permanently removes roughly 287 million units a year from the highest-margin asset without appearing in the forecast. What would confirm it: hydro segment EBITDA in FY27 coming in below the model's Rs.1,376cr.
17. **Analytical risk — now largely closed.** The FY26 accounts have now been read: the auditor's opinion is unmodified, contingent exposure is about 15% of net worth and not growing, and related-party sales are 4.3% of revenue. The residual unverified items are narrow — promoter-level share pledge, which sits in the quarterly shareholding filing, and the quantum of the KSK minority consideration. This risk is much smaller than we assessed before reading the primary sources, and we downgrade it accordingly.
18. **Long-dated — thermal asset stranding.** 5,958MW of coal and lignite capacity with PPAs running into the 2040s faces tightening renewable purchase obligations, potential carbon pricing and eventual stranding pressure. On a 10-to-20 year horizon this is real; within the forecast window it is not the binding constraint, which is why it is last.

The falsification test. We abandon the hold and move to a sell if, at FY27 year-end, consolidated EBITDA has come in below Rs.11,500cr (the 1QFY27 run-rate, implying the build has not delivered) and net debt/EBITDA is above 6.5x (implying it has not been funded either). That combination removes both legs of the case and leaves a 4.9x-gearred balance sheet with no growth to grow into it. Symmetrically, we upgrade to a buy if FY27 EBITDA exceeds Rs.13,000cr, net debt/EBITDA closes below 5.5x, and the QIP is completed at or above Rs.525 — at which point the FY29E bull case of Rs.839 becomes the base case.

26. Final Outlook

HOLD | Base target price Rs.625 | Upside +11.4% | CMP Rs.561 | Market cap Rs.98,584cr

The transformation is real. In four years JSW Energy has gone from 6,605MW to 13,454MW, from a stagnant thermal generator to a company where renewables supply 71% of EBITDA by FY30E, on 25-to-40 year fixed-tariff PPAs with sovereign-adjacent counterparties. It holds an AA rating, discloses more than most peers, has completed a Rs.10,150cr raise, and its promoter is subscribing equity rather than selling. None of this is a bad business.

The valuation anchor and what it requires. The base target of Rs.625 is 11.9x FY28E EV/EBITDA less FY27E-end net debt — the model's own construction, consistent with where Tata Power trades. It requires only that FY28E EBITDA of Rs.15,942cr is delivered and that the market keeps paying what it pays today: no re-rating, no acquisition, and no credit for Salboni, KSK units 3-6 or the residual JSW Steel stake.

Why the risk-reward is not asymmetric, which is the reason for the rating. Three structural facts, none of which the primary sources change. First, net debt at FY27E-end is 4.7x FY28E EBITDA, so the equity is a 29% residual claim and every 1.0x of multiple is worth 15.5% of the share price — the downside to a mean-reverting multiple is 33% against an 11% base upside. Second, a 10% miss on FY28E EBITDA alone turns the +11% into -7%, and the 1QFY27 run-rate is currently 11% below what FY27E requires. Third, after nine years of growth capex the model's terminal ROCE of 8.8% is still below the 10% WACC it discounts at — and management's claim that every investment clears a mid-teen hurdle has not yet shown up anywhere in group returns. The model's own asset-based sum-of-the-parts values the company at Rs.510, below the market price, while the forward-multiple approach gives Rs.625 above it. The two methods bracket the current price rather than pointing the same way, which is the definition of fairly valued.

What caps position sizing. Less than we thought before reading the primary sources. The audited FY26 accounts carry an unmodified Deloitte opinion, a single key audit matter on tariff disputes, contingent exposure of about 15% of net worth that is not growing, and related-party power sales of 4.3% of revenue. The Rs.10,150cr raise is complete and leverage on the company's measure is already inside its guardrail at 4.95x. What still caps it: an FY29-FY30 capex programme of roughly Rs.46,000cr yet to be financed on 2.1x interest cover; a Supreme Court ruling that permanently takes six percentage points of free power out of the highest-margin asset and is absent from the forecast; an incremental renewable EBITDA assumption running 36% above management's own per-MW benchmark; and a promoter-level pledge position we still have not seen. The correct response is a position that survives a 30% drawdown, not one that requires the bull case. We would become buyers on evidence — FY27 EBITDA above Rs.13,000cr with leverage below 5.5x — or on a price closer to Rs.480, where the downside-case multiple of 10.2x is already in the price.